

Larsson Line + Fibonacci Trading Plan

Long-Term Investment Strategy

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Strategy Overview

Purpose: Long-term position building in stocks with confirmed uptrends using precise Fibonacci retracement entry points.

Holding Period: 3-12 months (position trading/long-term investment)

Core Philosophy:

- Only buy dips in confirmed uptrends
- Never chase - wait for your price
- Weekly timeframe filters for quality
- Golden ratio weighting emphasizes strongest support levels
- Exit systematically when trend changes

Key Components:

1. **Larsson Line** - Trend filter (weekly timeframe)
 2. **Fibonacci Retracement** - Entry zones (daily timeframe)
 3. **Volume Analysis** - Confirmation (daily timeframe)
 4. **200 SMAs** - Ultimate support levels (weekly and daily)
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The Larsson Line Indicator

What is the Larsson Line?

The Larsson Line uses **4 Smoothed Moving Averages (SMMA)** to identify three distinct trend states:

Four Lines:

- **V1 (Fast):** 15-period SMMA
- **M1:** 19-period SMMA
- **M2:** 25-period SMMA
- **V2 (Slow):** 29-period SMMA

Three Trend States

1. BULLISH (Gold/Yellow Cloud)

- All moving averages aligned
- Clear uptrend confirmed
- **Action: BUY signals are valid**

2. NEUTRAL (Gray Cloud)

- Moving averages crossing/mixed
- Transition period, uncertainty
- **Action: WAIT - Do not enter new positions**

3. BEARISH (Blue Cloud)

- Downtrend confirmed
- $V1 < V2$ with alignment
- **Action: EXIT positions or stay in cash**

Key Insight

The Larsson Line turns GRAY during normal pullbacks - this is EXPECTED behavior. For long-term investing, we use **WEEKLY Larsson** to filter out this noise.

Fibonacci Retracement Levels

The Three Key Levels

After a price move from swing low to swing high, stocks typically retrace to:

1. **38.2% Retracement** - Shallow pullback (strong trends)
2. **50.0% Retracement** - Mid-level support (moderate pullbacks)

3. **61.8% Retracement** - Golden ratio, strongest support (deep pullbacks)

How to Draw Fibonacci

On Daily Chart:

1. Identify clear swing LOW (start of move)
2. Identify clear swing HIGH (peak of move)
3. Draw Fibonacci from LOW → HIGH
4. Tool will display retracement levels automatically

Dynamic Retracement

As the trend progresses:

- When price makes new higher high, **redraw Fibonacci** from that new high
- This keeps your entry zones aligned with current price action
- Always use most recent major swing points

Gray Zone Warning

DO NOT BUY between Fibonacci levels (e.g., 42%, 55%, 64%)

- No clear invalidation point
 - Lower probability setups
 - Wait for exact levels
-

Multi-Timeframe Approach

For Long-Term Investors (3-12 month holds)

Weekly Chart - Trend Filter

Purpose: Confirm macro trend is bullish

Check: Once per week (weekend review)

Requirements:

- Larsson Line = GOLD
- Price > Weekly 200 SMA
- Confirms "big picture" uptrend intact

Daily Chart - Entry Execution

Purpose: Find precise entry points within the uptrend

Check: Daily after market close

Requirements:

- Fibonacci retracement level reached
- Volume pattern healthy
- Price > Daily 200 SMA

Why This Works

Weekly Larsson stays **GOLD** during normal daily pullbacks:

- Daily Larsson may turn gray for 2-5 days
- Weekly Larsson remains stable
- Filters out noise, focuses on major trends

Daily Fibonacci gives precise entries:

- Specific price levels, not approximations
 - Clear stop loss placement
 - Better average cost basis
-

Entry Rules

Pre-Entry Checklist (ALL Must Be True)

1. *Weekly Larsson Confirmation*

- ☐ Weekly Larsson = **GOLD** (non-negotiable)
- ☐ Weekly trend visually intact
- ☐ No recent weekly trend break

2. *Price Structure*

- ☐ Price > Weekly 200 SMA
- ☐ Price > Daily 200 SMA
- ☐ Clear swing high and swing low identified

3. *Fibonacci Level Reached*

- ☐ Price at 38.2%, 50.0%, or 61.8% retracement
- ☐ NOT in gray zone between levels
- ☐ Level clearly identified on daily chart

4. *Volume Confirmation*

- ☐ Daily volume DECLINING during pullback (3-5 days)
- ☐ No volume spikes indicating panic selling
- ☐ Ideally, bounce day shows volume increase

5. *Timing*

- ☐ Not chasing - price came to you
- ☐ Limit order placed at exact Fibonacci level
- ☐ Patience maintained

Entry Execution

Use **LIMIT ORDERS** at exact Fibonacci levels:

- Set alerts at 38.2%, 50%, 61.8%
- Place limit buy orders when conditions met
- Let price come to you - never chase

What if price doesn't reach your level?

- You miss the trade
 - **This is OKAY** - discipline over FOMO
 - Wait for next setup
-

Position Sizing - Golden Ratio Allocation

The Golden Ratio Weighted Approach

Philosophy: Allocate most capital at strongest support (61.8% level)

For \$100,000 total allocation to a stock:

Level 1: 61.8% Fibonacci (BEST VALUE)

- **Allocation: 50% of capital** = \$50,000
- Deepest retracement, strongest support
- Golden ratio level - highest probability
- If this breaks, trend may be invalidating anyway

Level 2: 50.0% Fibonacci (GOOD VALUE)

- **Allocation: 30% of capital** = \$30,000
- Mid-level support
- Balanced entry point
- Still attractive risk/reward

Level 3: 38.2% Fibonacci (EARLY ENTRY)

- **Allocation: 20% of capital** = \$20,000
- Shallowest retracement
- Highest risk of continued decline
- Smallest position appropriate

Why This Allocation?

1. **Better average entry** if all levels hit
2. **61.8% is statistically strongest** Fibonacci level
3. **Limits exposure** at weaker shallow retracements
4. **Maximum capital** deployed at best value
5. **Inverse pyramid** matches probability to capital

Alternative: Equal Weight (Simpler)

If you prefer simplicity:

- 38.2%: 33.3%
- 50.0%: 33.3%
- 61.8%: 33.4%

Handling Retests

If price returns to same level again:

Bearish Retest (Failed Level)

- Price rallied weakly, now back at same level with selling
- **Action:** Hold existing position, DO NOT add
- Wait for deeper levels

Bullish Retest (Successful Level)

- Price rallied strongly, pulling back on low volume
- **Action:** Can add 10-15% more (not full allocation)
- Example: Had 20% at 38.2%, add 15% more = 35% total at this level

Key Rule: Never exceed 40% total allocation at any single Fibonacci level

Volume Confirmation

Why Volume Matters

Volume reveals true market sentiment:

- High volume down = Real selling pressure
- Declining volume down = Profit-taking, not panic
- High volume up from support = Strong buying conviction

Daily Volume Analysis for Pullbacks

Look at the DAILY volume bars during pullback days:

Healthy Pullback Pattern (BUY Signal)

Day 1 of pullback: High volume (profit-taking starts) Day 2: Lower volume Day 3: Even lower volume (selling exhausting) Day 4-5: Very low volume (bulls waiting) Bounce day: HIGH VOLUME (buyers defending level)

Visual: Volume bars getting progressively **shorter** day by day

Unhealthy Pullback Pattern (AVOID)

Day 1: High volume down Day 2: HIGHER volume down (escalating) Day 3: Still elevated volume Pattern: Institutional selling, distribution

Visual: Volume bars staying **tall** or getting **taller**

Practical Check

Before buying at Fibonacci level:

1. Look at last 3-5 daily volume bars
2. Are they declining? = Healthy
3. Are they increasing? = Warning
4. Is bounce day volume high? = Confirmation

Weekly Volume

Use weekly volume for:

- Long-term trend strength validation
 - Rising price on rising weekly volume = Strong trend
 - **NOT useful** for analyzing 3-5 day pullbacks
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Exit Rules

Priority Exit Signals (Exit 50% First)

Partial Exit (50%) Triggered By ANY of:

1. Weekly Larsson Turns GRAY

- Moving averages starting to cross on weekly chart
- Trend weakening, not yet broken
- Take profits, reduce exposure
- Move stop to breakeven on remaining 50%

2. Price < Daily 200 SMA for 2+ Weeks

- Losing daily structural support
- Warning sign even if weekly Larsson still gold
- Reduce exposure preemptively

3. Price Approaches Weekly 200 SMA

- Within 10-15% of weekly 200 SMA
- Major support zone being tested
- Exit 50%, very tight stop on remaining

Full Exit (100%) - Immediate

Exit ALL remaining position if ANY of:

1. Weekly Larsson Turns BLUE

- Bearish trend confirmed on weekly
- Downtrend established
- No exceptions - sell everything

2. Price Breaks Below Weekly 200 SMA

- Ultimate "trend is broken" level
- Long-term uptrend invalidated
- Nuclear option - exit immediately
- Overrides all other signals

3. Fibonacci Extension Profit Target + Larsson Gray

- Price reaches 200% extension
- Weekly Larsson turns gray simultaneously
- Take profits, trend may be exhausting

Profit Taking (Optional)

If price extends strongly, consider scaling out:

Fibonacci Extensions from Low → High:

- **127.2% Extension:** Take 25% profits (early target)
- **161.8% Extension:** Take 50% profits (golden ratio target)
- **200% Extension:** Take remaining 25% (measured move)

Alternative: Hold entire position until weekly Larsson exit signals

Never Do

- [X] Hold through BLUE weekly Larsson hoping for recovery
 - [X] Average down on losing positions
 - [X] Ignore weekly 200 SMA break
 - [X] Let profits turn to losses (respect the signals)
-

Risk Management

Stop Loss Placement

Initial Stop Loss (Fibonacci Entries)

For 61.8% Entry:

- Stop: Below daily 200 SMA OR 10% below entry
- Whichever is closer to entry price

For 50% Entry:

- Stop: Below 61.8% level OR daily 200 SMA

For 38.2% Entry:

- Stop: Below 50% level

Layered Stop Strategy (Recommended)

Position at 61.8% Fibonacci (\$387 example):

1. **Soft Stop:** Daily 200 SMA (\$369)
 - Exit 50% of position
 - Warning level, not catastrophic
2. **Hard Stop:** 10-15% above Weekly 200 SMA
 - Exit remaining 50%
 - Approaching ultimate support
3. **Nuclear Stop:** Weekly 200 SMA break
 - Exit 100% if somehow still holding
 - Never let this happen in practice

Position Sizing Per Stock

Maximum allocation to single stock:

- Conservative: 5-10% of total portfolio
- Moderate: 10-15% of total portfolio
- Aggressive: 15-20% of total portfolio

For \$1M portfolio:

- 10% allocation = \$100,000 to one stock
- Split across Fibonacci levels: \$20K, \$30K, \$50K

Portfolio-Level Risk

Diversification:

- 8-12 positions ideal for long-term portfolio
- All positions must have weekly Larsson GOLD
- Different sectors/industries
- Stagger entry timing

Maximum Drawdown:

- Individual position: 15% max loss
- Portfolio: 20% max drawdown before reassessment

The 200 SMA Shield

Think of 200 SMAs as safety zones:

Weekly 200 SMA (\$269) - NUCLEAR LEVEL ↑ 10-15% buffer zone Hard Stop Zone (~\$300) - EXIT
REMAINING ↑ Daily 200 SMA (\$369) - WARNING LEVEL ↑ Reduce 50% Entry Zones (38.2%, 50%,
61.8%) - BUY LEVELS ↑ Normal trading range

As long-term investor: You should exit well before reaching weekly 200 SMA if following the system properly.

Trading Checklist

Weekly Review (Every Weekend)

For Each Position:

- ☐ Weekly Larsson still GOLD?
- ☐ Price still above weekly 200 SMA?
- ☐ Weekly trend structure intact?
- ☐ Any new Fibonacci levels to draw?

For Watchlist Stocks:

- ☐ Weekly Larsson GOLD?
- ☐ Potential setup forming?
- ☐ Set alerts for Fibonacci levels?

Time Required: 15-30 minutes

Daily Review (After Market Close)

For Positions:

- ☐ Any exit signals triggered?
- ☐ Approaching stop loss levels?
- ☐ Position performing as expected?

For Watchlist:

- ☐ Fibonacci alerts triggered?
- ☐ Volume pattern confirming?
- ☐ Ready to enter position?

Time Required: 10-15 minutes

Entry Day Checklist

Before placing order:

- ☐ Weekly Larsson GOLD
- ☐ Price > Weekly 200 SMA
- ☐ Price > Daily 200 SMA
- ☐ Fibonacci level reached
- ☐ Volume declining during pullback
- ☐ Not in gray zone
- ☐ Limit order at exact level
- ☐ Stop loss planned
- ☐ Position size calculated

If ALL checked: Execute trade

If ANY unchecked: Wait or pass

Exit Day Checklist

When signal triggers:

- [] Verify signal on correct timeframe
- [] Check if partial (50%) or full (100%) exit
- [] Execute immediately - no hesitation
- [] Update position records
- [] Remove alerts for that stock
- [] Review what worked/didn't work

Emotional Discipline:

- Don't hope for recovery
 - Don't override the system
 - Trust the process
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Complete Trading Rules Summary

Entry Requirements (ALL Must Be True)

1. Weekly Larsson = GOLD
2. Price > Weekly 200 SMA
3. Price > Daily 200 SMA
4. Fibonacci level reached (38.2%, 50%, or 61.8%)
5. Daily volume declining during pullback
6. Limit order at exact level (not chasing)

Position Sizing (Golden Ratio)

- 61.8% Fibonacci: 50% of capital
- 50.0% Fibonacci: 30% of capital
- 38.2% Fibonacci: 20% of capital

Exit Rules

Exit 50% When:

- Weekly Larsson → GRAY
- Price < Daily 200 SMA for 2+ weeks
- Price within 10-15% of Weekly 200 SMA

Exit 100% When:

- Weekly Larsson → BLUE
- Price breaks Weekly 200 SMA
- Stop loss hit

Risk Management

- Stop loss: Below Daily 200 SMA or 10% below entry
- Max position size: 5-20% of portfolio
- Never add to losing positions
- Weekly 200 SMA is ultimate "abort" line

Time Commitment

- Weekly review: 15-30 minutes (weekend)
 - Daily monitoring: 10-15 minutes (after close)
 - Trade execution: 5-10 minutes (when setup appears)
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TSLA Example Trade Setup

Current Market Data (January 17, 2026)

TSLA Current Price: \$437.50

Weekly Chart Analysis:

- **Weekly Larsson:** GOLD
- **Weekly 200 SMA:** \$269
- **Price vs Weekly 200 SMA:** $\$437.50 / \$269 = 162\%$ above
- **Trend:** Strong uptrend since 2023
- **Verdict:** APPROVED for buying

Daily Chart Analysis:

- **Daily 200 SMA:** \$369
- **Price vs Daily 200 SMA:** $\$437.50 / \$369 = 118\%$ above
- **Daily Larsson:** GOLD

Fibonacci Retracement Levels

Drawn from recent swing:

- **Swing Low:** ~\$320
- **Swing High:** ~\$500

Retracement Levels:

- **38.2%:** \$426
- **50.0%:** \$406
- **61.8%:** \$387

Trade Setup

Current Status: WAIT

Price at \$437.50 is ABOVE all Fibonacci levels

- No entry signal at current price
- Do not chase - maintain discipline
- Wait for pullback to Fibonacci levels

If/When Pullback Occurs

Entry Plan for \$100,000 Allocation:

Level 1: \$387 (61.8% Fibonacci) - PRIMARY TARGET

Allocation: \$50,000 (129 shares)

Entry Conditions:

- [] Price reaches \$387
- [] Weekly Larsson still GOLD
- [] Volume declining on pullback days
- [] Price still above Daily 200 SMA (\$369)

Stop Loss: \$360 (below Daily 200 SMA at \$369)

Risk: 7.0% (\$27 per share × 129 = \$3,483)

Level 2: \$406 (50% Fibonacci) - SECONDARY

Allocation: \$30,000 (74 shares)

Entry Conditions:

- [] Price reaches \$406
- [] Weekly Larsson still GOLD
- [] Volume pattern healthy

Stop Loss: \$380

Risk: 6.4% (\$26 per share × 74 = \$1,924)

Level 3: \$426 (38.2% Fibonacci) - EARLY

Allocation: \$20,000 (47 shares)

Entry Conditions:

- [] Price reaches \$426
- [] Weekly Larsson still GOLD
- [] Strong volume on bounce

Stop Loss: \$400

Risk: 6.1% (\$26 per share × 47 = \$1,222)

Total Position If All Levels Fill

- **Total Shares:** 250
- **Total Capital:** \$100,000
- **Average Entry:** ~\$400.00
- **Weighted Position:** Heaviest at strongest support (61.8%)

Volume Analysis Strategy

As TSLA pulls back from \$437:

Monitor daily volume bars:

- Day 1 (\$437 → \$426): Expect high volume (profit-taking)
- Day 2 (\$426 → \$415): Volume should decline
- Day 3 (\$415 → \$406): Volume lower still
- Day 4 (\$406 → \$395): Volume very low
- Day 5 (\$395 → \$387): Minimal volume

At \$387 bounce: Look for volume spike confirming buyers

If volume increasing during decline: PASS - unhealthy selling

Exit Strategy for TSLA Position

Partial Exit (50%) - First Warning

Exit 50% of position if ANY occurs:

1. Weekly Larsson Turns GRAY

- Check every weekend
- Yellow cloud disappears from weekly chart
- Sell 50% Monday at market open

2. Price < \$369 (Daily 200 SMA) for 10+ Trading Days

- Two weeks below daily support = warning
- Exit 50%, tighten stop on remaining

3. Price Drops to \$300 Zone

- Approaching weekly 200 SMA (\$269)
- 10% buffer - don't wait for break
- Sell 50% immediately

After partial exit:

- Move stop loss to breakeven on remaining 50%
- Monitor weekly Larsson closely
- Prepare for possible full exit

Full Exit (100%) - Immediate Action

Exit ALL remaining shares if ANY occurs:

1. Weekly Larsson Turns BLUE

- Bearish trend confirmed
- Exit Monday at market open
- No exceptions

2. Price Breaks Below \$269 (Weekly 200 SMA)

- Ultimate trend invalidation
- This should never happen if following system
- Nuclear option - exit everything

3. Stop Loss Hit

- Individual position stops at \$360-\$400 range
- Accept the loss, move on
- Don't hope for recovery

Profit Targets (Alternative Strategy)

If TSLA extends to upside:

Calculate Fibonacci Extensions:

- From \$320 low → \$500 high = \$180 range
- Extensions from \$500:

127.2% Extension: $\$500 + (\$180 \times 0.272) = \$549$

- Action: Trim 25% of position
- Lock in partial profits

161.8% Extension: $\$500 + (\$180 \times 0.618) = \$611$

- Action: Trim 50% of position (or 50% of remaining)
- Major profit target

200% Extension: $\$500 + (\$180 \times 1.00) = \$680$

- Action: Trim final 25%
- Measured move complete

OR: Hold full position until weekly Larsson exit signal

Expected Timeline

Holding Period: 3-12 months

Typical Scenarios:

Scenario A: Full Position Built

- 2-4 weeks to fill all Fibonacci levels
- Hold 6-10 months until weekly Larsson exit
- Target: 25-50% gain

Scenario B: Partial Fill

- Price bounces at 50% (\$406), never reaches 61.8%
- Hold position with smaller size
- Still profitable due to golden ratio weighting

Scenario C: No Fill

- Price never pulls back to Fibonacci levels
- Continue rallying from \$437
- **You miss the trade - this is OKAY**
- Patience and discipline maintained
- Wait for next setup

Risk/Reward Analysis

If entering at \$387 (61.8% level):

- **Risk:** \$387 → \$360 stop = -7% (\$27)
- **Reward:** \$387 → \$550 target = +42% (\$163)
- **R:R Ratio:** 6:1

Portfolio Impact:

- \$100K position on \$1M portfolio = 10% allocation
- Max loss: $7\% \times 10\% = 0.7\%$ portfolio impact
- Potential gain: $42\% \times 10\% = 4.2\%$ portfolio impact

Weekly Monitoring Checklist for TSLA

Every Weekend:

- [] Open weekly TSLA chart
- [] Check Larsson Line color (must be GOLD to hold)
- [] Verify price > \$269 (weekly 200 SMA)
- [] Update Fibonacci if new swing high made
- [] Review position performance

If anything changes:

- Plan exit for Monday

- No emotional attachment
- System comes first

Key Takeaways from TSLA Example

1. Patience is Critical

- Current price \$437 = NO ENTRY
- Wait for Fibonacci levels
- Missing trades is part of discipline

2. Weekly Larsson is Your Guardian

- As long as GOLD, trend intact
- When it changes, you exit
- Simple and unemotional

3. Golden Ratio Weighting Works

- Most capital at best value (\$387)
- Even partial fills provide good position
- Pyramid structure protects capital

4. 200 SMAs Provide Safety Net

- Daily \$369 = first warning
- Weekly \$269 = ultimate abort
- Multi-layer protection

5. Volume Confirms Quality of Pullback

- Declining = healthy profit-taking
 - Rising = distribution/problems
 - Easy visual check
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Final Thoughts

Why This System Works

1. Multi-Timeframe Clarity

- Weekly filters major trends
- Daily provides precise entries
- Eliminates noise and confusion

2. Objective Rules

- No guessing or emotions
- Clear entry and exit signals
- Repeatable process

3. Risk Management Built-In

- 200 SMAs as guardrails
- Position sizing limits exposure
- Stop losses protect capital

4. Patient Capital Deployment

- Wait for your price
- Don't chase
- Let opportunities come to you

Success Metrics

Not about winning percentage:

- You may "miss" many trades
- Some Fibonacci levels won't fill
- Some trades will hit stops

It's about risk-adjusted returns:

- Large winners on trend captures
- Small losers with defined stops
- Compound over time

Discipline is Everything

The hardest parts:

1. Waiting for Fibonacci levels (not chasing)
2. Exiting when weekly Larsson turns gray (not hoping)
3. Missing trades entirely (accepting it)
4. Taking small losses (not averaging down)

If you can master these: The system works

Time Commitment Reality

This is NOT day trading:

- 15-30 minutes on weekends
- 10-15 minutes daily after market close
- Occasional trade execution
- Long periods of just holding

Perfect for:

- Full-time professionals
 - Long-term investors
 - Those who value time and peace of mind
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Appendix: Quick Reference Card

Entry Checklist

- ☐ Weekly Larsson GOLD
- ☐ Price > Weekly 200 SMA
- ☐ Price > Daily 200 SMA
- ☐ Fibonacci level hit

- [] Volume declining on pullback
- [] Limit order placed

Position Sizing

- 61.8% Fib = 50% of capital
- 50% Fib = 30% of capital
- 38.2% Fib = 20% of capital

Exit Triggers

50% Exit:

- Weekly Larsson → GRAY
- Price < Daily 200 SMA (2+ weeks)
- Approaching Weekly 200 SMA

100% Exit:

- Weekly Larsson → BLUE
- Break Weekly 200 SMA
- Stop loss hit

Weekly Review

- Check all positions' weekly Larsson
- Verify above weekly 200 SMA
- Plan any exits needed

Daily Review

- Monitor for Fibonacci level alerts
- Check volume patterns
- Execute any needed trades

This trading plan is a guideline based on technical analysis principles. All trading involves risk. Past performance does not guarantee future results. Always use proper risk management and never risk more than you can afford to lose.

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